

This is a good sign of capital formation happening in the country, a young demographic, and more savers as compared to retirees. (This is seen in) the growing systematic investment plan (SIP) book, employees' provident fund (EPF) money coming to the markets, National Pension Scheme (NPS) money coming to equities, people getting into this equity culture because of ESOPs (Employee Stock Ownership Plans) with their employers, and financial literacy efforts of AMFI (Association of Mutual Funds in India) and various bodies.

However, the flip side to this is that while we raised ₹1.7 lakh crore in IPOs, speculators collectively lost ₹1.06 lakh crore via F&O (futures and options) transactions. **The bulk of the trades today are of a gambling nature on the stock exchanges rather than capital formation or a long-term wealth creation strategy.** That is something we need to keep in mind.

Q: What do you think will be the key sectors to watch out for?

A: One sector where valuations look reasonable as compared to historical averages has been the banking space. Here, sentiment has not been that great. In IT services, the consensus is that a lot of headwinds—global captives, the effect of AI on the amount of work that will be there and resultant impact on margins, etc—are coming in.

Growth rates have been subdued. However, in the past as well, we have seen the sector go through cycles where some periods are high growth and some periods where the growth is subdued. I think these two spaces look reasonably okay to identify individual opportunities.

Q: How do you see fund management evolving in India for the next five years, and what is required for fund houses to stay relevant?

A: One trend that has played out globally and that will play out sooner or later in India is the trend towards passives. Passives will carve out a share in the Indian market. There is strict categorisation at the Sebi level in terms of a large-cap fund, mid-cap fund, large- and mid-cap, money market fund, and liquid fund.

Beyond a certain number of schemes from different fund houses, there is not much differentiation that can come in. One could see some consolidation down the road.

Q: Many investors say that there are just too many options in mutual fund investing. How

should an investor build a portfolio without getting overwhelmed?

A: The first decision does not even involve selecting a mutual fund scheme. I think where people make a mistake is getting the broad asset allocation right. I think people make a fundamental mistake here.

When it comes to mutual fund schemes, if someone is new to investing and even in my view, people who have been around for a while, also would do well in terms of selecting diversified equity funds, rather than going with specific thematic funds or sectoral funds.

If people invest in a diversified fund, either via something like a flexi cap or a multi cap or by selecting large-, mid- and small-cap funds, they should be okay. One caveat I would like to recommend is, don't go overboard on small caps and mid-caps. These are smaller companies where the fund will invest. They are by nature more volatile than the more

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established companies. The profit pool, roughly 65-75% of the overall corporate India profit, is concentrated in large caps. Mid and small caps have a smaller pool.

Q: What is the ideal portfolio mix that an average investor should have?

A: Historically, gold has always been part of our culture. Most people will have gold in their lockers at home or in their bank lockers. I would ask not to rush into gold just because past performances have been good. Also, investors should be mindful of not overallocating to themes and small-cap, mid-cap funds. **BT**

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